

RATIONAL AND NOT-SO-RATIONAL EXPLANATIONS OF MOMENTUM

A theory is more impressive the greater the simplicity of its premises, the more different kinds of things it relates, and the more extended its range of applicability.

—*Albert Einstein*

IF YOU ASK MOST ACADEMICS about the effectiveness of momentum, they will likely say that it works very well. If you ask them why it works so well, you may get a blank stare. To say we really do not know why momentum works would make this a very short chapter. So instead, I will give a number of possible reasons that *may* explain why momentum works, even though the underlying answer is still that we do not exactly know.

There are several reasons why it may be a good idea to try to understand why and how momentum works. First, knowing this may give us more confidence in using momentum.

Next, knowing how and why momentum works could give some insight into how the markets in general function. This may be useful in helping us